

At The Deep End

FOR INDIA'S DEEP-TECH COMPANIES, FUNDING MOMENTUM IS NO LONGER ENOUGH. THEY ARE BEING FORCED TO MOVE INTO A REAL-WORLD ENVIRONMENT AND MAKE A BUSINESS CASE FOR THEIR SOLUTIONS. HOW THEY MANAGE THE TRANSITION WILL DECIDE THEIR FUTURE

BY ANAGH PAL

INDIA'S DEEP-TECH ecosystem is maturing fast. As artificial intelligence (AI), robotics, industrial internet of things (IIoT) and data-driven systems move out of labs into a real-world business environment, deep-tech companies have little option but to make a business case for their solutions. Ambition is being tested by execution.

Funding, once the centre of action, no longer defines success. What separates scalable ventures from stalled experiments is clarity about customer problem, product-market fit, and ability to convert technical proof into commercial adoption. The shift is visible in lower appetite for open-ended pilots, closer scrutiny of return on investment (RoI), tighter capital deployment, rising regulatory and data compliance requirements, and longer and more demanding enterprise procurement cycles.

Sunil K. Goyal, Managing Director, YourNest Venture Capital, an early-stage venture fund, gives an example. "Datoms, an IIoT player, initially had a vision of connecting every possible machine to the Cloud. Instead of going broad from day one, the founders chose to focus on a single category, diesel generator sets," he says. Once customers saw consistent results, it became easier for the company to position itself as a full-scale platform capable of connecting other machines such as chillers, warehouses, even medical devices.